

Shareholders

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the ethical responsibilities and powers of shareholders. Specifically, this lesson will cover:

1. Limited Liability

Recall that a corporation is essentially a legal entity that is allowed to function as a person (with ongoing debates about what “personhood” entails). As a person, we can sue and be sued, and held liable for our actions in civil and criminal courts, but corporations as “persons” means that individual shareholders are not legally responsible for the corporation's debts and/or damages beyond their actual investment in the corporation—and some actions may have limited consequences, even when they impact the community, the environment, or the country. Investors have **limited liability**, which means that investors are generally protected from financial losses greater than their investment. Even if one family owns the entire business (a privately held corporation), they are sheltered from legal liability incurred by the company. The corporation is the “person” that bears the burden of liability, but corporations are made of people, and only people can make decisions and take actions.

Not all limited liability companies (LLCs) are corporations; they may be small, privately owned businesses. An LLC can even be one person, the sole owner and employee, who wants their business to be a separate legal entity from themselves as an individual. This can help prevent personal bankruptcy if the business fails; the business can go broke, but debtors cannot sue for other assets that belong to the individual.

An electrician who works privately for homeowners might get sued for accidental damages; while the company would still be liable for those damages, the electrician would not have to worry about other family assets, such as savings and a spouse's income, being taken away.

For purposes of granting owners the protection of limited liability, several types of entities are possible within each state, including a corporation, an LLC, a limited liability partnership, and a limited partnership. Without state incorporation laws, business owners would be subject to personal liability for business losses, which could create several disadvantages. Ownership would be riskier, so fewer entrepreneurs would launch a new business. Investors could also be subject to a pro rata share of income taxes. These types of personal financial liability could limit the ability of businesses to raise capital by selling stock.

Limited liability, by reducing the amount a shareholder can lose from investing in a corporation by buying its stock, increases the investment's attractiveness to potential new shareholders. Ultimately, corporate status increases both the potential number of willing investors and the amount of capital they are likely to invest—but

it also confers a limit to that liability, which limits the exposure to the full consequences of corporate decisions and actions.



BIG IDEA

Limited liability is relevant to both big businesses and small businesses, because neither could fully thrive if investors or entrepreneurs could face losses of personal assets if the business loses money.



THINK ABOUT IT

Would you be willing to invest your money in a business if you knew not only that you could lose the capital you invested, but also that you could be sued personally for any and all debts of the business?

Should individuals bear the cost of the debt or damage of a corporation?

Corporate status is conferred upon a business by state law (statute) when a state issues the business a charter of incorporation. The protective shield of corporate status enables businesses to socialize their losses in a way that traditional proprietorships and partnerships are not able to do. **Socializing** a loss is a means to **amortize** it or spread it out over society in general, so the owners do not absorb it individually. Amortization is similar to the idea behind insurance, in which many people bear a small share in a loss, rather than one or a few people bearing all of it. Therefore, it is accurate to say that society enables corporations to exist, both by passing laws that create them and by limiting the financial risk exposure of their owners.

Shareholders are also protected from criminal acts by the corporation. While a corporation can be taken to criminal court—and in some cases, executives are charged, stand trial, and even go to prison for actions as directors and managers of the corporation—the shareholders are protected from all but financial losses.

This raises ethical questions. If a board of shareholders pressures a company to maximize profits, and this is done by cutting corners that break the law, what is the ethical accountability of shareholders?

In a broader sense, since our society grants for-profit businesses the right to incorporate and make unlimited profits with limited liability, a reasonable person could conclude that corporations owe a debt to society in return. Corporations' **quid pro quo**—a Latin term meaning *this for that*—is acceptance of corporate social responsibility, to benefit the many stakeholders to whom corporations may owe a duty, including customers, the community, the environment, employees, media, and the government.



TERMS TO KNOW

Limited Liability

The legal assurance that a business loss can only amount to the initial investment, and that other personal assets cannot be taken to repay business debts.

Socializing a Loss (also known as Amortizing)

The spreading out of a loss over a number of people to soften the impact.

Quid Pro Quo

Literally, “this for that,” the explicit or implicit suggestion that a gift or benefit will be repaid in kind.

2. Shareholders and Social Responsibility

A longstanding ethical debate about corporate social responsibility asks whether, in fact, a corporation owes a duty to society or only to its shareholders.

Remember that in *Dodge v. Ford Motor Company (1919)* the Michigan Supreme Court ruled in favor of shareholder primacy, saying that founder Henry Ford must operate the Ford Motor Company primarily in the profit-maximizing interests of its shareholders over employees and the community. (This same lawsuit also laid the groundwork for limited liability.) However, later in the 20th century, corporate leaders were given more power, such as upholding the rights of William Wrigley III to not install lights at Wrigley Field (home field of the Chicago Cubs baseball team), which would maximize profits.

But ethical questions do not only apply to what corporate leaders owe shareholders; there are also questions about what shareholders owe the corporation. For example, many aspects of corporate social responsibility (CSR) are profitable over a long period of time, by building a respectable brand and establishing strong relationships with customers and community. But in the era of electronic **day trading**, where people buy and sell stocks in pursuit of immediate profits, investors have little incentive to think long term, and can push businesses to make decisions that yield short-term profits but long-term damage. For example, the pressure to raise stock value by constantly expanding its business pushed the bookstore chain Borders to open more stores than were feasible, which contributed to its downfall (Sanburn, 2011). In some cases, people who “play” the stock market in search of quick profits have little interest in the longevity of the company, and feel little accountability to the employees, the communities where the businesses operate, or even to other shareholders.

However, it’s important to remember that shareholders are not a single entity. For example, just as small-time investors can push a company into debt, they can also save a company, as gamers famously did to save Gamestop in 2021. In this case, people bought stock not to gain profit but because they felt committed to saving the company (and its employees) so they could continue to shop there. Similar action was taken to save AMC (Stewart, 2022). Whether such actions can permanently save either company remains to be seen, but it shows that even shareholders with small investments can also be driven by a desire for long-term success of the company. And in fact, that is the truth of most shareholders.

Lynn Stout, late Professor of Law at Cornell Law School, described the role of shareholder in this way:

“Shareholders as a class want companies to be able to treat their stakeholders well, because this encourages employee and customer loyalty . . . Yet individual shareholders can profit from pushing boards to exploit committed stakeholders—say, by threatening to outsource jobs unless employees agree to lower wages, or refusing to support products customers have come to rely on unless they buy expensive new products as well. In the long run, such corporate opportunism makes it difficult for companies to attract employee and customer loyalty in the first place” (2013).

Essential to Stout’s point is that shareholders do not necessarily behave as a class. Some will want to maximize their investment even at a cost to other stakeholders (even other shareholders). Some may want to extend beyond the legal minimum and seek a long-term perspective on profit maximization, demanding better treatment of stakeholders to maximize future potential value and to do more good than harm.



TERM TO KNOW

Day Trading

The practice of buying and selling stocks quickly (even the same day) in pursuit of short-term profits.

3. Environment, Social, and Governance

While the landmark *Dodge vs. Ford Motor Co. (1919)* asserted shareholder primacy, it is a mistake to presume

that shareholders are always in pursuit of profit. In fact, shareholders may be the ones pressuring corporations to a deeper commitment to social responsibility. Indeed, shareholder power is often used as leverage. For example, in 2022, many companies quickly suspended or abandoned their business in Russia following the invasion of Ukraine, largely in response to social media pressure (Shoup, 2022). People can both boycott the products from companies they want to steer in a different direction but can also effectively bring change by threatening to sell their own stock or (more often) telling their investment companies to do so.



Most stockholders do not invest directly in a single company but have a range of stocks handled by an investment company; these companies oversee most retirement investments, for example. Such companies often have special options of socially responsible stocks their clients can opt for.

The term **ESG**, for “Environment, Social, and Governance,” is shorthand for the demand investors place on companies to demonstrate their commitment to the environment, to being good corporate citizens, and to responsible management, including race and gender equity. While ESG has a similarity to “the triple bottom line” of people, profits, and planet, it is used particularly in terms of how ethical commitments of a company make it more or less attractive to investors.

Environment 	The “carbon footprint” of a company and efforts to minimize or offset environmental impacts.
Social 	The involvement of a company in the community and attention to social issues.
Governance 	The internal operations of the company, including reducing income disparity and initiatives to improve diversity, equity, and inclusion.

In this way, the power of investors is not a challenge to the corporate social responsibility (CSR) initiatives of management, but a motivator. Companies now often have an ESG report along with their earnings to attract investors. Because ESG-minded investors are more loyal and have a long-term perspective, it is more than simply assuring potential investors that the company is socially responsible, but attracting the kind of investors who are more likely to share the long-term goals of the company with its executives and other stakeholders.

➞ **EXAMPLE** Is ESG-minded investment effective? One sign that it is comes through active campaigns by investment companies for equity initiatives. The Big Three refers to three investment companies who manage stock portfolios for millions of Americans, usually mutual funds or retirement investments. In the early 2020s, all three engineered campaigns aimed at companies to improve

equity. According to a paper by the National Bureau of Economic Research, this led to 2.5 times more women being named to top executive positions in major corporations (Gormley, et al, 2022). Besides showing that ESG concerns are influencing corporate behavior, this shows that even people with modest investments can make a difference through broad influence.



REFLECT

If you have investments, such as a 401k or other retirement plan, how involved are you with the decisions about what stock to buy or sell, and how influenced are you by a company's ESG profile?



TERM TO KNOW

Environment, Social, and Governance (ESG)

Concerns for corporate social responsibility that drive investors to buy stock, including actions by the company to minimize and offset environmental impacts, invest in the community, and practice good governance, such as through efforts at diversity, equity, and inclusion.



SUMMARY

In this lesson, you learned about **limited liability**, and how corporations have a degree of protection from consequences that both enables them to make investments with limited risk, which promotes entrepreneurship and growth, but also potentially limits the legal exposure for their actions as individuals even as the corporation is held responsible. Shareholders cannot lose more than their investment, and personal assets are distinct from corporate investments. Corporations and the people who make up those organizations, including shareholders, administration, workers, vendors, and suppliers, **share in social responsibility** as members of the community in which they live and work, the nation in which they operate, and the planet we all call home. How ethical commitments of a company make it more or less attractive to investors is referred to as ESG, or **environment, social, and governance**.

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